Glossary

- **Consumption function :** the relationship between consumption and income
- **Autonomous Consumption :** Autonomous consumption is the minimum level of consumption or spending that must take place even if a consumer has no disposable income, such as spending for basic necessities.
- **Autonomous Investment :** Additional investment that is independent of income
- **Average Propensity to Consume (APC):** Ratio of the consumption expenditure to income. C/Y
- **Marginal Propensity to Consume (MPC) :** Ratio of change in consumption to change in income. $\Delta C/\Delta Y$
- **Average Propensity to Save (APS):** Ratio of the saving to income. S/Y
- **Marginal Propensity to Save (MPS):** Ratio of change in saving to change in income. $\Delta S/\Delta Y$
- **Subjective Factors :** Internal factors related to Psychological feeling
- **Objective Factors :** External factors which are real and measurable.
- **Demonstration effect :** the tendency to imitate superior consumption pattern.
- **Induced investment :** Additional investment demand that results from an increase in domestic product (GDP)
- **Multiplier :** ratio of change in income to change in investment. $\Delta Y/\Delta I$
- **Accelerator :** ratio of change in induced investment to change in consumption. (or) Technical relationship between change in capital stock and change in level of output.
- **Super Multiplier :** The combined effect of interaction of multiplier and accelerator.